IN THE UTAH SUPREME COURT

Appeal from the Third District Court
In and For Salt Lake County, State of Utah, Case No. 206927043
The Honorable Adam T. Mow, Presiding

PUBLIC

Case No. 20221024

MOLLY J. MULLIGAN and JOHN P. MULLIGAN,

Appellants,

vs.

ALUM ROCK RIVERSIDE, LLC,

Appellee.

APPELLANTS' PETITION FOR REHEARING

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Appellants Molly J. and John P. Mulligan ("Mulligans") respectfully submit this petition for rehearing of this Court's Opinion issued on July 18, 2024, which was reported at 2024 UT 22 (the "Opinion"), a copy of which is attached as Addendum 1.

ARGUMENT

The Mulligans respectfully submit that the Court has misapprehended the facts and law relating the creation of a lien and issuance of the Writ of Execution against their Weber County property based upon a California Foreign Judgment that Appellee Alum Rock Riverside, LLC ("Alum Rock") obtained against its debtor, Brett Del Valle (who never owned the property), which Alum Rock attempted to domesticate by filing its Notice of Judgment in the Third Judicial District Court in Salt Lake County, but failed to file its Notice of Judgment in the Registry of Judgments with the Fourth Judicial District Court in Weber County, all in violation of several Utah statutes which are in harmony

with each other: § 78B-5-302(3)[1]; § 78B-5-305(1)[2]; § 78B-5-201(2)[3], § 78B-5-202(7)(c)[4], and §78B-3-301(1)[5], Utah Code Ann. Those misapprehensions resulted in this Court erroneously concluding that Alum Rock created a lien on real property in Weber County and that the Writ of Execution was validly issued, which was the principal basis for denying the Mulligans' appeal; the Court therefore should revisit and revise its Opinion.

I. TEXTUAL EVIDENCE THAT CREDITORS MUST FILE THEIR JUDGMENTS IN THE REGISTRY OF JUDGMENTS IS ABUNDANT; AND THIS COURT HAS ALREADY HELD THAT IT APPLIES.

Much of the focus of the briefing and arguments in this appeal, at oral argument held on April 10, 2024, and in the Opinion, was on the threshold issue of whether Alum

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[1] "A foreign judgment filed under this part [the Utah Foreign Judgment Act] has the same effect and is subject to the same procedures, defenses, enforcement, satisfaction, and proceedings for reopening, vacating, setting aside, or staying as a judgment of a district court of this state" (emphases added).

[2] "A foreign judgment entered in a district court under this part becomes a lien as provided in 78B-5-202 if: (a) a stay of execution has not been granted; (b) the requirements of this chapter [Procedure and Evidence] are satisfied; and (c) the judgment is recorded in the office of the county recorder where the property of the judgment debtor is located, as provided in Section 78B-5-202" (emphases added).

[3] "On or after July 1, 1997, a judgment entered in a district court does not create a lien upon or affect title to real property unless the judgment is filed in the Registry of Judgments of the office of the clerk of the district court of the county in which the property is located" (emphases added).

[4] "The real property subject to the lien includes all the real property of the judgment debtor…(ii) owned or acquired at any time by the judgment debtor during the time the judgment is effective" (emphases added).

[5] "Actions for the following causes involving real property shall be tried in the county in which the subject of the action, or some part, is situated: (e) for the foreclosure of all liens and mortgages on real property" (emphases added).

Rock created a lien on the Mulligans' property in the first instance such that any writ could be issued, whether by the District Court in Salt Lake County or by a court in Weber County. The Mulligans respectfully submit that the Court, after holding that under Utah's Foreign Judgment Act (§ 78B-5-301 et seq.) creditors of foreign judgments must also comply with the Judgment Lien Statute (§ 78B-5-201 et seq.), erroneously ruled that § 78B-5-201(2) of the Judgment Lien Statute no longer applies to any judgments entered after July 1, 2002. This ruling, however, misapprehends the language of the statute and the textual evidence therein, i.e., that both "lien creation" subsections (2) and (3)(a) are still required of all creditors if they wish to create a lien on real property, including as evidenced internally in the "shall include" subsection (4), which expressly incorporates the Registry of Judgments requirement in two places in that subsection. It states:

> § 78B-5-201. Definitions – Judgment recorded in Registry of Judgments
>
> (1) For purposes of this part, "Registry of Judgments" means the index where a judgment is filed and searchable by the name of the judgment debtor through electronic means or by tangible documents.
>
> (2) On or after July 1, 1997, a judgment entered in a district court does not create a lien upon or affect title to real property unless the judgment is filed in the Registry of Judgments of the office of the clerk of the district court of the county in which the property is located.
>
> (3)(a) On or after July 1, 2002, except as provided in Subsection (3)(b), a judgment entered in a district court does not create a lien upon or affect the title to

real property unless the judgment or an abstract of the judgment is recorded in the office of the county recorder in which the real property of the judgment debtor is located.

…

(4) In addition to the requirements of Subsections (2) and (3)(a), any judgment that is filed in the Registry of Judgments on or after September 1, 1998, or any judgment or abstract of judgment that is recorded in the office of a county recorder after July 1, 2002, shall include[6]:

(a) the information identifying the judgment debtor as required under Subsection (4)(b) on the judgment or abstract of judgment; or

(b) a copy of the separate information statement of the judgment creditor that contains:

…

(iii) the amount of the judgment as filed in the Registry of Judgments Utah law is clear that a judgment must be accompanied by information about the judgment debtor, whether in the judgment itself or attached separately as an information statement – and in either case, pursuant § 78B-5-201(4)(b)(iii), that information must include "the amount of the judgment as filed in the Registry of Judgments" thereby

[6] Here, given other textual evidence, statutory and case law discussed below, "or" should be read to mean that the subsection (4) "shall include" requirements apply to both (2) and (3)(a), not that (2) and (3)(a) are mutually exclusive.

expressly incorporating both lien creation subsections (2) and (3)(a) – i.e., cumulative requirements added over time. See e.g., Irving Place Assocs. v. 628 Park Ave, LLC, 2015 UT 91, ¶ 24, 362 P.3d 1246; and, T3 Properties, 2013 UT App 38, ¶ 21, 299 P.3d at 6187.

Furthermore, in 2017 this Court already held that the "judgment registry statute" (§ 78B-5-201) "applies only to judgment creditors who wish to create a lien on the judgment debtor's property[7]". 2DP Blanding, LLC v. Palmer, 2017 UT 62, ¶ 31, 423 P.3d 1247, 1253. In 2DP Blanding this Court dealt with whether the "judgment registry statute" applied to First National's Foreclosure order and decided that it did not because the order "does not create that kind of [judgment creditor] relationship…[T]he order instead established the relative priority of First National's trust deed against Palmer's deed and authorized the bank to foreclose on the properties against a separate debtor. The[8]

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[7] Mulligans expressly further reserve their arguments below and on appeal that the Mulligans' Property is not, and never has been, property owned by Alum Rock's debtor, including as discussed further below.

[8] "…the reason the information statement requirement is set out in a separate subsection is not difficult to ascertain. Subsection (2) was included in section 1.5 when it was enacted in 1997, and by its terms, applies "[o]n or after July 1, 1997." Subsection (3), however was not added to section 1.5 until 1998 and by its terms, only applies to judgments that were recorded "on or after September 1, 1998." The information statement requirement is separate from subsection (2) because it took effect a year later. Thus, separate subsections do not mean that the information statement is not essential to the creation of a judgement lien; rather these requirements are set forth in different subsections due to the different dates of application. So, in order for "a judgment rendered or recorded" "[o]n or after July 1, 1997," to create a judgment lien it must be recorded in the Registry of Judgments. But effective a year later, "in addition to" the recording requirement of subsection (2) a judgment must "include a separate information

judgment registry statute consequently did not govern the recording of First National's foreclosure order." In so holding, this Court expressly referenced the "judgment registry statute" saying it "impos[es] duties on judgment creditor to obtain a lien on judgment debtor's real property" and "require[es] the judgment to include 'the amount of the judgment as filed in the Registry of Judgments." Id. at ¶ 31 and fn. 8 (emphases added).

In addition, the Mulligans respectfully submit that this Court misapplied Kitches & Zorn, L.L.C. v. Yong Woo Kim, 2005 UT App 164, 112 P.3d 1210, and misapprehended legislative history of the Judgment Lien Statute in paragraphs 31-39 of its Opinion when it erroneously equated the removal in 1997 of "automatic-lien regime" language in § 78B-5-202(2) (adding the requirement that as of July 1, 1997 "…a judgment does not create a lien 'unless the judgment is filed in the Registry of Judgments of the office of the clerk of the district court of the county in which the property is located'") with the further addition in 2002 of subsection (3)(a) ("a judgment entered in the district court does not create a lien 'unless the judgment or an abstract of the judgment is recorded in the office of the county recorder in which the real property of the judgment debtor is located.'"). The Court's conclusion that the addition of subsection (3)(a) is evidence that "legislature also phased out subsection (2)'s registry-of-judgments requirement" is, respectfully, illogical, and not supported by the textual evidence in the

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statement of the judgment creditor" in order to create a lien on real property" (emphases added).

statute itself, nor this Court's analysis in 2DP Blanding, nor by other cases and rules discussed below.

Also, in parsing the statutory language of § 78B-5-201, the Court erroneously contrasted the external grammatical structure and punctuation of the two "lien creation" subsections (2) and (3)(a), which are not separated by an "or" or "but" conjunction, with the internal punctuation of subsection (4) that lists out the "shall include" disclosure requirements for a judgment, and in doing so, ignored that (4) begins with the phrase "In addition to the requirements of Subsections (2) and (3)(a)…" and proceeds to, in that same enumerated list, require disclosure of "the amount of the judgment as filed in the Registry of Judgments". Opinion ¶¶ 35-40. The Court concludes that reading subsection (2) out of the lien creation requirements brings two statutes into harmony because although the Foreign Judgment Act expressly refers creditors to the requirements of the Judgment Lien Statute, it does not itself reference the Registry of Judgments. But respectfully, if this Court maintains that reading out § 78B-5-202(2) brings the Judgment Statute in harmony with the Foreign Judgment Act, it does so to the peril of harmony within the Judgment Lien Statute itself and settled law and practice[9].

Furthermore, the Court's assertion in paragraph 44 of the Opinion that Kitches has stood as "controlling law in this jurisdiction for nearly two decades, and during that time judgment creditors have presumably relied on it as such" is unsupported by any evidence

[9] The Mulligans also submit that the Judgment Lien Statute and the Foreign Judgment Act are already in harmony with each other because foreign judgments creditors are specifically directed to look to Utah's Judgment Lien Statute to create a lien on real property in Utah – as are domestic creditors, who do not rely on the Act at all.

including, for example, by creditors, debtors, lenders, or title companies whose job it is to search out liens in court records and county records, and is further belied by textual evidence in the statute itself as shown above, and by 2DP Blanding, T3 (supra), and other cases decided after Kitches, such as, for example, Charlton v. Charlton, 2007 UT App 198, in which the Utah Court of Appeals assumed without deciding that judgments must

be filed in the registry of judgments but that "the date that the judgment is filed in the 'registry of judgments'," is not the date from which an appeal runs (citing Glacier Land Co. v. Klawe, 2006 UT App 209, ¶ 3, 138 P.3d 109 (observing that a "stamp on the Judgment states it was 'entered in the registry of judgments' on March 14, 2005," but holding that is not the date from which an appeal runs)); Wilden Family Dental, Inc. v. Dannon, 2007 UT App 404, ¶ 1 (observing that "[t]he judgment also contains a stamp stating that it was entered in the registry of judgments on August 7, 2007," but holding that is not the date from which an appeal runs) (citing Glacier Land Co.)).

Indeed, the Mulligans respectfully submit that the presumption and reliance by creditors, lenders, title companies and others has been in the other direction – that creditors are required to file their judgments in the Registry of Judgments to create a lien on real property. This requirement is not trivial; it serves the important public purpose of docketing judgments in a searchable court database in the county where real property is located so that judgments (whether recorded yet or not) and liens (whether choate or inchoate) that affect or may affect real property can be discovered. Prospective buyers, sellers, lenders, and title companies, among others, all have a vested interest in being able

to locate docketed judgments, including ones that purport to create a lien (especially if not yet recorded). And title companies, in particular, as discussed during oral argument, routinely and regularly search court records for judgments that may or do affect real property or the sellers and buyers thereof[10]. It is their legislative imposed duty to do so.

The legislature has expressly recognized this important role of searching for judgments in court records and provided for it by enacting a number of court rules designed to provide access to court records designated as public. For example, Rule 4-202. Purpose, Utah Rules of Judicial Administration, provides in relevant part:

> Intent: To recognize the delicate balance of interests served by open and closed court records.
>
> …
>
> Statement of the Rule:
>
> (1) This list of interests served by public court records is not exhaustive but is meant to illustrate the important objectives of open government:
>
> (F) to give notice of important claims, rights and obligations… Rule 4-202.02. Records Classification, provides in relevant part[11]:
>
> (2) Public Court Records. Public court records include but are not limited to:

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[10] See § 31A-20-110. Underwriting rules for title insurance, states, inter alia: "(1) A title insurance policy may not be written until the title insurer or its individual title insurance

[11] See also State v. Allgier, 2011 UT 47, ¶¶ 10-11, 258 P.3d 589 (holding that under the plain language of the UCJA there is a 'presumptive right of public access to court records…including "to give notice of important claims, rights and obligations'"); accord Supernova Media, Inc. v. Pia Anderson Dorius Reynard & Moss, LLC 2013 UT 7, 297 P.3d 599.

(L) indexes approved by the Management Committee of the Judicial Council, including the following, in courts other than the juvenile court; an index may contain any other index information:

(viii) civil judgment… Rule 4-205. Security of Court Records, provides in relevant part:

Intent: …To assure that authorized personnel have access to court records when appropriate producer or agency title insurance producer has conducted a reasonable examination of the title and has made a determination of insurability of title under sound underwriting principles. Evidence of this examination and reasonable determination shall be retained in the files of the title insurer…for not less than 15 years after the policy has been issued…" Accord Chapman v. Uintah County, 2003 UT App 383, 81 P.3d 761; Culp Constr. Co. v. Buildmart Mall, 795 P.3d 650 (Utah 1990); Johnson and Allphin v. First American Title Ins. Co., 2016 WL 6459579.

(3) The clerk of the court may authorize, in writing, abstractors, credit bureau representatives, title company representatives and others who regularly research court records to have direct access to public court records…

Taken together with the textual evidence, caselaw and rules discussed herein,[12] and

[12] At oral argument the Court allowed Alum Rock to raise a new argument under § 75-7-505, Utah Trust Code, which had never been referenced, briefed or argued by the parties below or on appeal (Transcript pp. 23, 49) and further invited counsel for Alum Rock to submit supplemental authority on the question of whether "when the legislature does not amend a statute in response to an interpretation, that we give that some weight?" (Transcript p. 28) (a copy of the oral argument Transcript is attached to this petition as Addendum 2). In the spirit of assisting this Court to rule on the Mulligans' petition, they offer supplemental authority consistent with this Court's guidance in Patterson v.

the harmony that exists between them, it appears to the Mulligans that the legislature has mandated that to create a lien on real property after July 1, 2002, a creditor must both file it in the requisite Registry of Judgments and record it with the county recorder – and that T3, decided in 2013,which extensively analyzed and explained the evolution of the Judgment Lien Statute over time, is on point and controlling, while Kitches, decided in 2005, if not wrongly decided, is at least distinguishable, including since its "starting point for establishing a judgment lien on real property [was] section 78-22-1 [§ 78B-5-202 today]" rather than today's § 78B-5-201 [78-22-1.5 in the time of Kitches]. Kitches, ¶ 10 (emphases added))[13].

Patterson, 2011 UT 68, ¶ 18, 266 P.3d 828, 833, wherein it stated: "[b]ut we routinely consider new authority relevant to issues that have been properly preserved, and we have never prevented a party from raising a controlling authority that directly bears upon a properly preserved issue. Further, we are unwilling to disregard controlling authority that bears upon the ultimate resolution of a case solely because the parties did not raise it below." And the Mulligans expressly preserved for appeal questions relating to whether Alum Rock validly created a lien on their property, including pursuant to the Foreign Judgment Act and the Judgment Lien Statute. Additionally, at oral argument the Court specifically asked about title companies and how they investigate judgments against judgment debtors, which counsel for Mulligans, who has practiced title insurance law for more than 25 years, addressed and discussed (Transcript pp. 45-47).

[13] Additionally, in ¶ 46 in the Opinion the Court acknowledges that the core issue in T3 is the same issue in this case, i.e., "[t]he issue [in T3] was whether the judgment creditor created a lien on the property before the debtor conveyed it away". Therefore, its dismissal in ¶¶ 47-48 of the T3 statement that a judgment must be filed in the registry of judgments as mere dicta ignores that this conclusion was expressly made in this context: "These cumulative amendments were in effect until July 1, 2002 and are part of what we have designated as the 2001 version of the judgment lien statute. The statute was significantly revised again, effective July 1, 2002 (the 2002 version) …Notably, the 2002 version required that the judgment and the information statement be recorded in both the Registry of Judgments and in the county recorder's office." (T3 at ¶ 15 and fn 5.) (emphasis added). Thus, the T3 footnote was an extension of the court's in-depth analysis of the statue, even beyond the information statement at issue, not just a side note.

Further, following Kitches reads out of existence § 78B-5-202(3), which provides: "[a]n abstract of judgment issued by the court in which the judgment is entered may be filed in any court of this state and shall have the same force and effect as a judgment entered in that court" and the language in § 78B-5-201(4) that states "or abstract of judgment that is recorded in the office of a county recorder after July 1, 2002". If a creditor does not need to file its judgment or an abstract in the court where the real property upon which it seeks to create a lien is located, then there is no need for these provisions.

II. IN DECIDING THAT ALUM ROCK'S DEBTOR "OWNED" THE PROPERTY THIS COURT LEAP-FROGGED OVER FACT FINDING AND EVIDENTIARY HEARINGS.

The Mulligans respectfully submit that in its Opinion, this Court prematurely decided that Alum Rock's debtor, Brett Del Valle, "owned" the Property, such that Alum Rock's lien could attach and that the Writ was therefore properly issued, on the facial basis that the Del Valle Family Trust is revocable[14] – but without the parties having

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Confusingly, in ¶ 48, while discussing T3, the Court stated that "[a] separate panel of the court, squarely presented with the issue, had held those requirements are sequential and that judgments no longer need to be filed in the registry of judgments for a lien to attach" but T3 held no such thing. And, respectfully, the analysis in ¶ 43 in which the Court discusses that "where a legislature amends a portion of a statute but leaves other portions unamended, or re- enacts them without change, the legislature is presumed to have been satisfied with prior judicial constructions of the unchanged portions of the statute and to have adopted them as consistent with its own intent" leads to a "cumulative" conclusion not the sequential conclusion which the Court adopted.

[14] As a practical matter the Mulligans would have no way of knowing that the grantor, the "Del Valle Family Trust", is a revocable trust nor that any judgment against an individual named Brett Del Valle (which judgment would not show up in a grantor search of the

conducted any fact-finding discovery and without any evidentiary hearings to probe the extent, control, contribution, and ownership interest that Brett may have had as a settlor and trustor. In doing so, the Court relied on general principles about creditors rights, trusts, and on § 75-7-505(1). Opinion. ¶¶ 57-62[15]. But section 75-7-505(1) provides: "During the lifetime of the settlor, the property of a revocable trust is subject to the claims of the settlor's creditors. If a revocable trust has more than one settlor, the amount the creditor or assignee of a particular settlor may reach may not exceed the settlor's interest in the portion of the trust attributable to that settlor's contribution"[16] (emphases added). At the Scheduling Conference held on August 17, 2022, counsel for Alum Rock expressly requested the District Court to allow it to conduct fact discovery followed by an evidentiary hearing:

> MR. JOHNSON: …I would like to talk to Brett Del Valle about this trust he set up, So my – my request would be a short period for some very limited discovery as to talk to the parties about the trust, and just to make sure this is also, a, you know, a legitimate transfer of assets. This is a multi-million-dollar judgment that

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Weber County public court records) could somehow create a lien on the subject property.

[15] But see Hillam v. Hillam 2024 Ut App 102, ¶ 37 (finding unpreserved a "distinct legal theory" because "[w]e see no place in Tara's pleadings or in the court's analysis where anyone invoked Utah Code section 75-7-505(2)(a), which provides the analytical foundation for the issue Tara is presenting on appeal".

[16] In footnote 2 of their appellate Reply Brief, the Mulligans called out and reserved the issue that: "Brett Del Valle's wife is not Alum Rock's judgment debtor, so even if it could somehow execute against his prior co-trustee interest in the Property, it could not do so against hers", although the Court erroneously stated in its footnote 7 that "[n]either side has addressed whether Traci's joint ownership of the property has any effect on the judgment lien. For that reason, we express no opinion on the matter."

we're trying to collect on. So there's a fair amount at stake.

So my ask would be some basic discovery, just two or three quick depositions. If we could have an evidentiary hearing in maybe 90 to 120 days. I do think we need to brief the legal issues, in particular did this judgment attach to the property, and there's kind of a couple issues related to that.

…

MR. JOHNSON: I probably want to talk to the Mulligans briefly just to inquire into the nature of their relationship with this Del Valle character… It would be a brief deposition just to confirm that this –that they are BFP's, that they don't know Brett Del Valle and the nature of that. I don't anticipate that it would be a very long deposition, but if I'm allowed to talk to Brett Del Valle about this trust and the nature of this trust; is it a revocable trust; is it a irrevocable trust; was the trust really – was the property really treated as (inaudible) in the trust, things along those lines…" R000299-302. After some discussion, the District Court decided to set "oral argument on the legal issues, and then my goal is to be able to give you a decision at that hearing so that we can discuss, you know, do we need to set it for further evidentiary issues of discovery or hearing or what have you, or if that's the end of my involvement in the case. I think that's a good way to handle that threshold issue."[17]

Additionally, the Mulligans respectfully submit that they did argue, and did preserve below, the question of whether § 78B-5-202(7)(c) governs to preclude

[17] The trust provides that co-settlors are tenants in common; therefore, if this Court holds that Alum Rock's lien attached, evidence on what Brett's interest was is needed.

attachment of Alum Rock's lien because a judgment lien can only attach to "real property of the judgment debtor". In their Reply and Request for Hearing, the Mulligans expressly argued this legal theory, including by tying it to §78B-5-202(7)(c), even though they were replying to a Writ of Execution issued under Rule 64E:

> (3) But the Plaintiff's Application for Writ of Execution then goes on to incorrectly state that the real property located at and commonly known as 1453 S. Basinview Road, Huntsville, Utah 84137, and more particularly described (in part) as Lot 7, Basinview Estates Cluster Subdivision 1st Amendment, and which bears Parcel No. 20-119-0007 (which real property is referred to hereinafter as the "Property"), is "the judgment debtor's property"; the Application for Writ of Execution then incorrectly requests that a Writ of Execution be issued to direct the Sheriff to seize and sell the Property purportedly as if it was "the debtor's … real property." ¶¶ 4 and 6 of the Plaintiff's Application for Writ of Execution. Those statements and requests in Plaintiff's Application for Writ of Execution are incorrect, inaccurate, and improper, because the Property is not presently – and it never has been – the judgment debtor's real property; the Property is not presently – and it never has been – owned by Brett Del Valle in his individual and personal capacity
>
> (4) It further and provides and confirms that a judgment can become a lien upon real property only if the above-referenced filings and recordings are made in the county in which the property is located…

> And in footnote 3: 'That same Utah Code Section 78B-5-202(7)(c) & (c)(ii) also and further confirm that even if all of those requirements are met, the judgment then affects only real property in that county "of the judgment debtor" and specifically such property "owned or acquired at any time by the judgment debtor during the time the judgment is effective." R000049 (some emphases added).

And in additional filings below, they continued to assert the argument that even if Alum Rock had created a valid lien pursuant to Utah's Judgment Lien Statute, Alum Rock's Writ was improper and invalid because it was issued against real property not owned by its judgment debtor. Thus, this Court's harsh treatment and criticism of the Mulligans in ¶¶ 54-56 seems unfair and inaccurate. Therefore, to the extent this Court upholds its ruling that Alum Rock created a lien, the Mulligans respectfully submit that it should withhold any decision relative to whether its debtor's status as a settlor of the trust a fortiori means that he "owned" the property such that its lien automatically attached, including under § 78B-5-202(7), and remand the case to the District Court for further fact finding and proceedings on that question.

III. A LIEN FORECLOSURE IS AN IN REM ACTION AND MUST BE BROUGHT WHERE THE REAL PROPERTY IS LOCATED.

The Mulligans respectfully submit that this Court also misapprehended the meaning of Section 78B-3-301, Actions involving real property, when it decided that the Salt Lake County District Court had jurisdiction to issue the Writ. § 78B-3-301 provides:

> (1) Actions for the following causes involving real property shall be tried in the

county in which the subject of the action, or some part, is situated:

(e) for the foreclosure of all liens and mortgages on real property. The Court opined in ¶ 63 of its Opinion that the Mulligans "have not identified a relevant limitation on the district court's jurisdiction to issue the writ" but the Mulligans argued on pages 3, 6, 11, and 30 of their Principal Brief, and on page 14 of their Reply, that § 78B-3-301 applies to limit the District Court's jurisdiction because this is a solely in rem action – i.e., the California contract dispute resulted in a judgment and the Utah action pertains only to execution and foreclosure of Alum Rock's purported lien on real property. But this Court did not address in rem principles at all, which the Mulligans expressly raised and argued in pages 3-4, 6, 11, 30, 32 of their Principal Brief and in pages 13-15 of their Reply. Notably, however, Alum Rock filed and recorded a Lis Pendens on the Mulligans' Property, pursuant to § 78B-6-1303[18], giving notice:

> …of an action pending in the Third Judicial District Court of Salt Lake County, Case No. 206927043 (the "Action"). In the Action, Alum Rock claims a judgment lien against the below described property and, pursuant to its judgment in the Action, has obtained a writ of execution against the below described property…"

Thus, the Court's determination that "no [a]ction[]…involving real property' is at issue…Indeed, no cause of action is at issue at all" is erroneous and should be corrected.

[18] 78B-6-1303, Lis pendens – Notice, provides:"(1)(a) Any party to an action filed in … a district court of this state…that affects the title to, or the right of possession of, real property may file a notice of pendency of action…(3) From the time of filing the notice, a purchaser, an encumbrancer of the property, or any other party in interest that may be affected by the action is considered to have constructive notice of the pendency of action."

See also Derma Pen, LLC v. 4EverYoung Ltd., No. 2:13-CV-00729-DN-EJF, 2015 WL 791595 (D. Utah) (Application for Writ of Execution is an in rem or quasi in rem proceeding: "[i]n determining whether a court has assumed jurisdiction over the property in question, a court must look to the judgment sought…[w]here, however, the judgment sought requires 'that the court or its officers have possession or control of the property which is the subject of the suit in order to proceed with the cause and grant the relief sought,' then the proceeding is considered in rem or quasi in rem)[19].

RESPECTFULLY SUBMITTED this 1st day of August, 2024.

s/ Felicia B. Canfield
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[19] See also SMS Fin., LLC v. CBC Fin. Corp., 2017 UT 90, ¶ 5, 417 P.3d 70, 72 (assuming that filing for a writ of execution was an "action" to foreclose its judgment lien); see also e.g., Carmack v. Park Cities Healthcare, LLC, No. 3:16-CV-3500-D, 2021 WL 4133494, at *7 (N.D. Tex. Sept. 10, 2021) ("attachment proceedings are essentially in rem actions because they result in control of the property. This logic applies as well to writs of execution. Much like writs of attachment, writs of execution "result in actual or constructive control over the res itself, rather than simply adjudicating personal rights to the subject property," meaning they are also essentially in rem actions) (citing GM Gold & Diamonds LP v. Fabrege Co., 489 F. Supp. 2d 725, 727 (S.D. Tex. 2007)).

CERTIFICATE OF SERVICE

I certify that the above Appellants' Petition for Rehearing is presented in good faith and not for delay (certification under Utah R. App. P. 35(a)(3)). I hereby certify that on August 1, 2024, I caused a true and correct copy of the foregoing APPELLANTS' PETITION FOR REHEARING to be served by e-filing through the appellate e-filing system and by email on Benjamin D. Johnson (10275) and KC Hooker (18018), Bennett Tueller Johnson & Deere, 3165 East Millrock Drive, Suite 500, Salt Lake City, Utah 84121, ben.johnson@btjd.com, kchooker@btjd.com, attorneys for Alum Rock Riverside LLC; and on Bradley L. Tilt (Utah Bar No. 07649), Freeman Lovell, PLLC, 4568 S Highland Drive, Suite 290, Salt Lake City, Utah 84117, bradley.tilt@freemanlovell.com, attorneys for Molly J. Mulligan and John P. Mulligan.

s/ Felicia B. Canfield
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